Ch-1 Business, Trade and Commerce

Introduction

- All human beings need various goods and services to satisfy their needs and wants.
- People buy these goods and services from markets, which can be physical or online.
- Markets offer a variety of shops and sellers, allowing customers to choose what they need.
- Goods and services are made available through different economic activities like production, manufacturing, distribution, and exchange.
- Business is a major economic activity that focuses on producing and selling goods and services to satisfy human needs.
- Business plays an important role in our daily lives, even though other institutions like schools, hospitals, and political bodies also influence us.
- Business includes a series of activities from production to consumption, and it broadly covers industry, trade, and commerce.

Role of Business in the Development of Economy:

- Business, including trade and commerce, has played a vital role in economic development since ancient times.
- Ancient India had a prosperous economy due to strong trading activities.
- Trade was carried out through both land and water routes, including the famous Silk Route and maritime trade.
- Goods were traded within the country and with foreign lands, generating surplus income.
- People engaged in various economic activities like agriculture, weaving, handicrafts, pottery, and cottage industries.
- Family-based workshops (karkhanas) were important for manufacturing goods.
- Surplus income led to investment and the growth of an indigenous banking system.
- Instruments like Hundi and Chitties were used for safe transfer of money in trade.
- These credit instruments reduced risks like theft during long-distance travel.
- Availability of credit, loans, and advances boosted commercial activities.
- India enjoyed a favourable balance of trade, with exports exceeding imports.
- Many major trade centres developed, such as Patliputra, Taxila, Surat, Ujjain, and Madurai.
- Business activities promoted the development of aids to trade like transport, banking, finance, and communication.

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- During British rule, India's economy shifted from exporter of finished goods to exporter of raw materials and importer of manufactured goods.
- After independence, India adopted planned development and later economic liberalisation (1991), leading to growth, global integration, and initiatives like Make in India, Skill India, and Digital India.

Concept of Business:

- The term business is derived from the word "busy," meaning being engaged in activities.
- In a specific sense, business refers to regular activities related to the purchase, production, and sale of goods and services for earning profit.
- Human activities are broadly classified into economic and non-economic activities.
- Economic activities are undertaken to earn a livelihood, such as work done by teachers, doctors, managers, and workers.
- Non-economic activities are performed out of love, sympathy, or social feelings, such as helping others or household work.
- Economic activities are divided into three categories: business, profession, and employment, where business focuses on profit through satisfying human needs.

Characteristics of Business Activities:

- Economic activity: Business is an economic activity carried out to earn money or livelihood, not for emotional reasons like love or sympathy.
- Production or procurement: Business involves producing goods or procuring them from producers for further sale to consumers.
- Sale or exchange: A key feature of business is the sale or exchange of goods and services for value. Without sale, it is not considered business.
- Regular dealings: Business activities must be conducted on a regular basis; a one-time transaction does not qualify as business.
- Profit motive: The main objective of business is to earn profit, which is essential for its survival and growth.
- Uncertainty of return: The amount of profit or loss in business is uncertain and cannot be predicted in advance.
- Element of risk: Business involves risk due to factors like market competition, changes in demand, accidents, theft, and natural calamities.

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1.2.3 Comparison of Business, Profession and Employment

- Mode of establishment: Business is started by an entrepreneur with legal formalities; profession requires membership of a professional body; employment begins with an appointment letter.
- Nature of work: Business involves providing goods and services; profession offers specialised expert services; employment involves working as per service rules or contract.
- Qualification: Business does not require minimum qualifications; profession requires specialised education and training; employment requires qualifications as per employer's needs.
- Reward or return: Business earns profit; profession earns professional fees; employment earns salary or wages.
- Capital investment: Business requires capital depending on size; profession needs limited capital; employment requires no capital investment.
- Risk: Business has high risk with uncertain profits; profession has relatively less risk with more stable income; employment has least risk with fixed income.
- Transfer of interest: Business ownership can be transferred; profession and employment cannot be transferred.
- Code of conduct: Business has no strict code; profession follows a professional code of conduct; employment follows rules set by the employer.
- Examples: Business – shops and factories; profession – doctors, lawyers, chartered accountants; employment – jobs in banks, companies, and government offices.

1.3 Classification of Business Activities:

- Business activities are broadly classified into two categories: industry and commerce.
- Industry is related to the production and processing of goods and materials.
- Commerce includes all activities that facilitate the exchange of goods and services, such as trade and aids to trade.

1.3.1 Industry:

Meaning of Industry

- Industry refers to economic activities related to the conversion of natural resources into useful goods.
- It involves the use of machinery, technical skills, and processing of goods or breeding of animals.
- It also refers to a group of firms producing similar or related goods (e.g., textile industry, electronic industry).

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Types of Industries

I. **Primary Industries**

- Concerned with extraction of natural resources and development of living organisms.
- Extractive industries: Involve extracting raw materials from nature (e.g., farming, mining, fishing).
- Genetic industries: Involve breeding plants and animals (e.g., poultry farms, nurseries, cattle breeding).

II. **Secondary Industries**

Use raw materials from primary industries to produce finished or semi-finished goods.

Manufacturing industries: Convert raw materials into finished goods.

Types include:

Analytical (e.g., oil refinery)

Synthetical (e.g., cement)

Processing (e.g., sugar, paper)

Assembling (e.g., cars, computers, TVs)

Construction industries: Involve building infrastructure like roads, bridges, dams, and buildings.

III. **Tertiary Industries**

- Provide support services to primary and secondary industries and help trade.
- Include services like transport, banking, insurance, warehousing, communication, packaging, and advertising.

1.3.2 Commerce:

- Commerce includes two main activities: trade and auxiliaries to trade.
- Trade refers to the buying and selling of goods and services.
- Auxiliaries to trade are services that support trade, such as transport, banking, insurance, communication, advertising, packaging, and warehousing.
- Commerce acts as a link between producers and consumers, ensuring smooth flow of goods and services.
- It helps in removing hindrances in exchange, such as persons, place, time, risk, and finance.

Different auxiliaries remove specific hindrances:

- Transport removes place barriers
- Warehousing removes time barriers
- Insurance removes risk

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- Banking provides finance
- Advertising provides information

Thus, commerce ensures the smooth and continuous exchange of goods and services by facilitating all necessary supporting activities.

Trade and Auxiliaries to Trade:

- Trade is a part of commerce and involves buying, selling, or exchanging goods and services.
- It helps in making goods available to consumers from producers.
- Modern production is done on a large scale, so producers cannot directly reach all buyers.
- Traders act as intermediaries to distribute goods in different markets.
- Without trade, large-scale production would not be possible.
- Auxiliaries to trade are activities that support and assist trade.
- These auxiliaries are also called services because they facilitate business activities.
- Important auxiliaries include transport, banking, insurance, warehousing, and advertising.
- They help remove hindrances like place, time, risk, finance, and information barriers.
- Auxiliaries support movement, storage, financing, risk protection, and promotion of goods, making business activities smooth and efficient.

1. **Transport and Communication:**

- Goods are produced in specific regions (e.g., tea in Assam, cotton in Gujarat), but consumed in different places.
- Transport removes the place barrier by moving goods from production areas to consumption areas.
- It helps in the movement of raw materials to factories and finished goods to markets.
- Communication is essential for exchanging information between producers, traders, and consumers.
- Services like postal and telephone support business activities and are considered auxiliaries to trade.

2. **Banking and Finance:**

- Funds are essential for business activities like buying assets, raw materials, and meeting expenses.
- Banks provide financial support to businessmen, helping them overcome the problem of finance.
- Commercial banks offer facilities like loans, advances, overdraft, and cash credit.

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- Banks perform services such as collection of cheques, remittance of funds, and discounting of bills.
- In foreign trade, banks help exporters receive payments and also assist companies in raising capital from the public.

3. Insurance:

- Business activities involve various risks like fire, theft, and damage to property.
- Goods in stock or transit may also face risk of loss or damage.
- Employees are protected against accidents and occupational hazards through insurance.
- Insurance provides financial protection by compensating losses in return for a small premium.

4. Warehousing:

- Goods are not sold immediately after production and need to be stored for future use.
- Warehousing provides storage facilities to prevent loss or damage of goods.
- It helps businesses overcome storage problems and ensures goods are available when required.
- Warehousing helps in maintaining stable prices by ensuring a continuous supply of goods.

5. Advertising and Public Relations:

- Advertising and PR are tools of promotion used to influence customers and promote products, services, or ideas.
- Advertising is paid, while Public Relations (PR) is generally unpaid and focuses on building relationships.
- These activities are essential for increasing sales in the market.
- Producers and traders cannot contact every customer directly, so advertising helps reach a large audience.
- They provide information about product features, price, quality, and uses to potential customers.
- Advertising and PR also help to persuade customers to buy goods and services.
- PR tools like press releases and social media help maintain a positive public image.
- Overall, they help in creating awareness, building goodwill, and boosting demand for products and services.

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